1.3

Enterprise, Business Growth & Size

Cambridge IGCSE Business

Entrepreneurs	Gov. Support
Business Plans	Measuring Size
Why Businesses Grow	Methods of Growth
Why Some Stay Small	Succeed vs Fail

Enterprise and Business Growth

This topic explores what entrepreneurs do, how to measure and grow a business, and why many businesses choose to remain small.

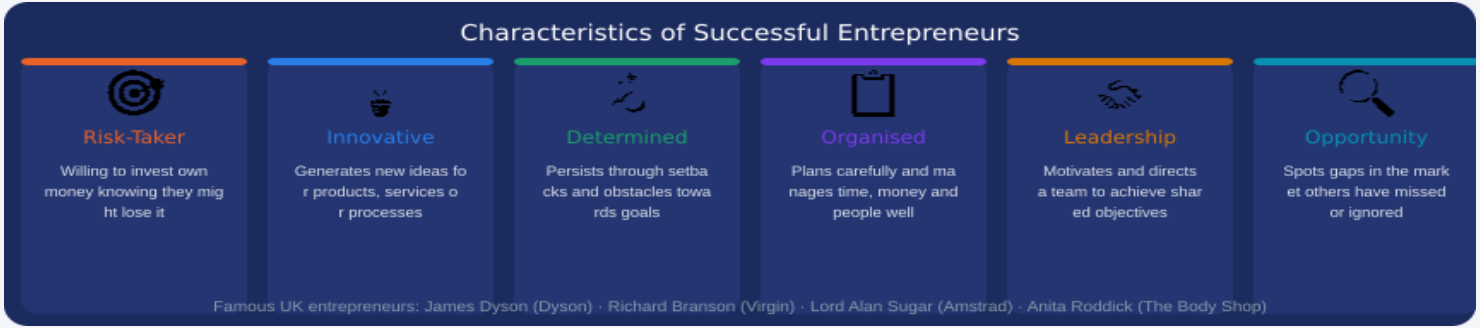
- Identify characteristics of successful entrepreneurs
- Explain the purpose and contents of a business plan
- Measure and compare business size
- Compare internal and external growth methods
- Explain why some businesses stay small

Enterprise & Entrepreneurship

Who entrepreneurs are · What they do · Why it matters

Characteristics of Successful Entrepreneurs

An entrepreneur is someone who organises the factors of production to set up a business, taking on the financial risk in hope of making a profit.



What each characteristic means in practice:

Risk-Taker	Invests own savings and time with no guarantee of success. Example: James Dyson spent £2m developing his vacuum before a single sale.
Innovative	Creates something new or improves something existing. Example: Steve Jobs combined existing tech into the iPhone — nobody had done it before.
Determined	Keeps going after failures. Example: Walt Disney was rejected by 300 banks before getting funding. Dyson made 5,127 prototypes.
Organised	Plans carefully, manages time and people well. Sets clear goals, delegates, tracks progress — without this the business cannot scale.
Leadership	Builds and motivates a team to share the vision. Example: Richard Branson is known for empowering employees and inspiring loyalty.

Exam tip: Entrepreneurs take RISK — they invest their own money knowing they might lose it. The reward for this risk is PROFIT. An employee takes no risk and earns a wage, not profit.

Why and How Governments Support Business Start-ups

Governments actively encourage new businesses to start up because start-ups benefit the whole economy — not just the entrepreneur.

Why governments support start-ups:

Creates jobs	New businesses hire workers → unemployment falls → less spent on benefits → more tax collected
Tax revenue	Profitable businesses pay corporation tax. Employed workers pay income tax. Both benefit public services.
Innovation	Start-ups develop new products and services that improve productivity and drive economic growth
Competition	More businesses = more competition = lower prices and better quality for consumers

How governments support start-ups:

Grants
Non-repayable cash for eligible businesses — e.g. Innovate UK grants for tech start-ups

Low-cost loans
Below market interest rates — reduces the cost of borrowing to start up

Free advice
Enterprise agencies, mentoring schemes and business support networks

Training
Skills boot camps, apprenticeships and funded business knowledge programmes

Exam tip: Governments support start-ups for SELFISH reasons too — more businesses = more tax revenue. Always explain the economic benefit to the government, not just to the entrepreneur.

The Business Plan – Purpose and Key Elements

A business plan is a written document that sets out what the business will do, how it will operate and how it will be financed. It is essential for securing investment and guiding the business.

BUSINESS PLAN

Executive Summary:	Overview of the whole plan — what and why
Objectives:	SMART goals: revenue, growth, market share
Resources:	Staff, equipment, premises needed to operate
Market Research:	Target market, competitor analysis, demand
Marketing Plan:	4Ps strategy — product, price, place, promotion
Financial Plan:	Sales forecasts, cash flow, profit projections
People:	Management team, skills, organisational structure
Operations:	How the product or service will be produced

Why the business plan is important:

- Helps secure bank loans and investor funding
- Forces the entrepreneur to think problems through
- Sets clear targets to measure progress against
- Identifies risks and plans for how to manage them

Limitations of Business Plans

- Based on forecasts — the future is uncertain and unpredictable
- New businesses have no trading history to base forecasts on
- Can give false confidence — reality often differs greatly
- Time-consuming to write — takes focus away from trading

Exam tip: Banks use the financial section to decide whether to lend. Investors use the whole plan to decide whether to invest. Without a business plan, a new business is much less likely to get funding.

Measuring Business Size – Methods and Problems

The size of a business can be measured in several ways. Each method has strengths and weaknesses. The best method depends onthe type of business being measured.

Number of Employees

Count of people employed full or part time in the business.

- ✅ Simple and easy to compare across industries
- ❌ Capital-intensive firms (e.g. oil refineries) are large but employ few people
- ❌ *Profit is NOT a valid method of measuring business size*

Value of Sales / Output

Total revenue earned from sales in a given period.

- ✅ Shows the scale of trading activity clearly
- ❌ High revenue does not mean large profit — costs may be very high
- ❌ *Profit is NOT a valid method of measuring business size*

Volume of Output

Number of units produced or sold in a period.

- ✅ Useful for comparing firms in the same industry
- ❌ Hard to compare across industries with different unit values
- ❌ *Profit is NOT a valid method of measuring business size*

Capital Employed

Total assets minus current liabilities — money invested in the business.

- ✅ Reflects the true financial scale of the business
- ❌ Asset-heavy firms appear larger than service firms of equal importance
- ❌ *Profit is NOT a valid method of measuring business size*

Problems with measuring size: different methods give different results — a firm can be large by one measure but small by another. Always state WHICH measure you are using.

Exam tip: PROFIT is NOT a method of measuring size — a tiny business can be very profitable. Always use one of the four methods above and explain why it suits the business type.

Business Growth & Why Some Stay Small

Internal · External · Mergers · Integration

Why Businesses Want to Grow

Business owners do not always want to grow — but when they do, there are several powerful motivations. Growth changes the nature of the business fundamentally.

Higher Profit

Larger output spreads fixed costs over more units → lower unit costs → higher profit margins

Tesco: bulk buying reduces cost per tin of beans to below what small shops can match

Economies of Scale

Bigger businesses get discounts from suppliers, cheaper finance and can spread overheads further

Amazon: its fulfilment infrastructure costs the same whether it ships 1m or 10m parcels

Increased Market Share

A bigger share of the market gives more pricing power and makes the business less vulnerable

Sainsbury's acquiring Argos — added 770 stores overnight and millions of new customers

Reduced Risk

Larger, diversified businesses are less exposed if one product line or market declines

Unilever sells 400 brands — if one fails, the company does not collapse

Status and Credibility

Bigger businesses attract better staff, more investors and command greater respect from banks

A PLC can raise millions on the stock exchange; a sole trader cannot

Exam tip: Always link WHY a business wants to grow to its specific situation. A new start-up may grow to survive; an established firm may grow to dominate the market.

Methods of Business Growth and Problems Linked to Growth

Businesses can grow internally using their own resources, or externally by merging with or taking over other businesses. Both methods carry risks.

Methods of Business Growth

📈 INTERNAL GROWTH

Develop new products (R&D)
Enter new markets (new countries)
Increase sales/marketing spend
Open new branches or stores
✓ Slower but lower risk
✗ Limited by own resources

🔀 HORIZONTAL INTEGRATION

Merging with / taking over a competitor
Same stage in the supply chain
Example: Facebook buys Instagram
Example: Disney buys Pixar
✓ Eliminates competition · economies of scale
✗ Monopoly concerns · culture clash

⬆⬇ VERTICAL INTEGRATION

Taking over a firm at different supply stage
Backward: buy a supplier (secure inputs), → McDonald's buys a catt
Forward: buy a distributor/retailer, → Apple opens its own Apple Stor
✓ Controls supply chain · cuts costs
✗ Complex to manage · huge investment

Problems linked to business growth:

Diseconomies of scale	As the business gets bigger, communication breaks down, coordination fails and unit costs start to RISE again
Management overload	Too many workers reporting to too few managers — quality of decisions falls, oversight weakens
Overtrading	Growing too fast without enough working capital — orders taken but cash runs out before they can be fulfilled
Loss of personal touch	Customers who valued the small business service feel neglected as the business scales up operations
Culture clash	In mergers and takeovers, different company cultures, values and management styles create internal conflict

Exam tip: Diseconomies of scale is the most important problem of growth. Unit costs RISE as the business grows too large. Thekey causes are poor communication and management overload.

Why Some Businesses Choose to Remain Small

Not every business owner wants to grow. Many deliberately choose to keep their business small — and this is a rational, valid strategic decision.

Reasons to Remain Small

- Owner wants to maintain PERSONAL CONTROL over quality and every decision — growth means delegating
- NICHE MARKET — the total market is simply too small to support a larger business
- Owner values WORK-LIFE BALANCE and does not want the stress and workload of managing growth
- LACK OF FINANCE — cannot access the capital needed to fund growth without giving up control
- PERSONAL SERVICE — the product IS the individual (e.g. private tutor, sole-trader plumber, bespoke tailor)
- LOWER RISK — staying small means less financial exposure and simpler operations

Real examples of businesses that successfully stay small:

Local barber

One owner, loyal local customers, low overheads — personal service IS the product

Artisan bakery

Quality demands hands-on production — growth would compromise the product

Private tutor

One-to-one attention is the value — scaling up destroys the core proposition

Sole-trader plumber

Skills-based, trust-based — clients want the individual, not a large firm

Exam tip: Staying small is not failure — it is often a deliberate choice. In the exam, always explain WHY the specific business in the question would benefit from remaining small.

Why Businesses Succeed and Why They Fail

Some businesses thrive while others close within months. The difference usually comes down to a small number of critical factors — most of which can be planned for.

Why Businesses Succeed

- Strong management skills — plan, organise, lead and control effectively
- Access to finance — maintain positive cash flow through difficult periods
- Product matches customer needs — demand exists and continues to grow
- Competitive advantage — something rivals cannot easily copy or undercut
- Good timing — enter the market when conditions are favourable
- Adaptability — change quickly when customer needs or the market shifts
- Location — right place for the right customers at the right cost

Why Businesses Fail

- Poor cash flow management — profitable on paper but runs out of cash
- Insufficient demand — product nobody actually wants to buy
- Strong competition — established rivals undercut or outmarket the new entrant
- Economic downturn — recession cuts consumer and business spending
- Poor management — wrong decisions on price, product, people or place
- Over-reliance on one customer or supplier — single point of failure
- Failure to adapt — ignores changing technology, tastes or regulations

📊 UK stat: approximately 20% of new businesses fail in their first year · 60% fail within 3 years · cash flow is the most common cause

Exam tip: Cash flow problems kill profitable businesses. A business can have strong sales but still fail if customers pay late and the firm runs out of cash to pay its suppliers.

Key Revision Checklist – 1.3 Enterprise, Business Growth and Size

Entrepreneur	Takes financial risk combining factors of production. Key characteristics: risk-taking, innovative, determined, organised, leadership, opportunity-spotter
Business Plan	Sets out objectives, resources, market research, marketing, finance, people, operations. Essential for bank loans
Measuring size	Number of employees, value of sales, volume of output, capital employed. NOT profit
Why grow	More profit, economies of scale, greater market share, reduced competition, better finance access
Internal growth	New products, new markets, increased marketing. Slower but less risky. Funded from own resources
Horizontal	Merging with/taking over a competitor at the same production stage. Example: Facebook buys Instagram
Vertical backward	Taking over a supplier to control inputs. Example: McDonald's buying a cattle farm
Vertical forward	Taking over a distributor/retailer. Example: Apple opening own retail stores
Staying small	Owner control, niche market, work-life balance, lack of finance, personal service businesses